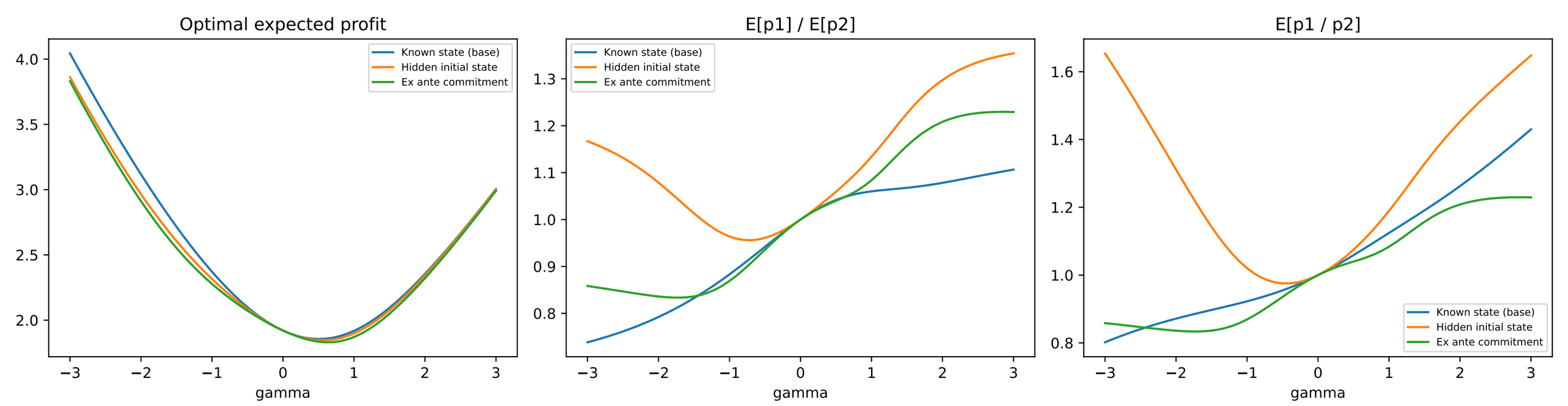
Optimal expected profit
Known state (base)
Hidden initial state
Ex ante commitment
4.0
3.5
3.0
2.5
2.0
−3
−2
−1
0
1
2
3
gamma
E[p1] / E[p2]
Known state (base)
Hidden initial state
Ex ante commitment
1.3
1.2
1.1
1.0
0.9
0.8
−3
−2
−1
0
1
2
3
gamma
E[p1 / p2]
1.6
1.4
1.2
1.0
0.8
Known state (base)
Hidden initial state
Ex ante commitment
−3
−2
−1
0
1
2
3
gamma